

Case Study – Bitcoin Mining Pools

Company: JAN3

Business Area: Bitcoin Mining Research

Case Study Description

Bitcoin mining has always struggled with centralization, both in terms of physical mining operations and mining pools. New entrants to mining should take this into consideration when selecting a pool, because aside from considering only profit, ideally they factor in pools that are good actors. The mining pool industry is also quite complex for miners to evaluate different pools as there are many different schemes for payment.

The core objective of this case study is to research the overall Bitcoin mining landscape and compile a list of major mining pools with data on their estimated hashrate, fee structures, payout thresholds, payout mechanisms, respect for privacy, and identify where they operate from legally. You will also create a schema to rate these pools (percentage, alphabet grading, or something of your design), with the goal of being able to recommend pools to a new miner.

An extra optional objective will be to analyze whether mining has become more or less centralized over the last 5 years.

Objectives

Students are expected to:

- a. Conduct a competitive analysis of major mining pools.
- b. Collect and present data about major mining pools in an easy to understand format.
- c. Understand the difference between the fee structures offered and be able to explain which one is the best.
- d. Create a schema to rank the pools, while also showing ranking of individual aspects as well (for example: Taste 5, Texture 3, Color 3, Total 11/15).
- e. Criteria can be the points mentioned in the case study description, or additional ones you find interesting.
- f. Research the current and past behaviors of the operators of these pools to determine if there are any potential areas of concern.
- g. Identify any other areas that could be concerning.
- h. Find possible connections or relationships between the different pools, if any.
- i. Make a recommendation of the three pools a new miner may consider to use.

Key Considerations

- Present your information in a clear way for someone to compare the different pools.
- Compare data offered firsthand from a pool's website with other sources if possible.
- Hashrate is always estimated so you may find conflicting data, but you can also see if there is first party reporting.

Useful Resources

- Website: <https://miningpoolstats.stream/bitcoin>
- Website: https://learn.braiins.com/en/#pools_hash_rate_distribution

Reference Contact

Samson Mow

samson@jan3.com

Michael Rosen

michael@jan3.com